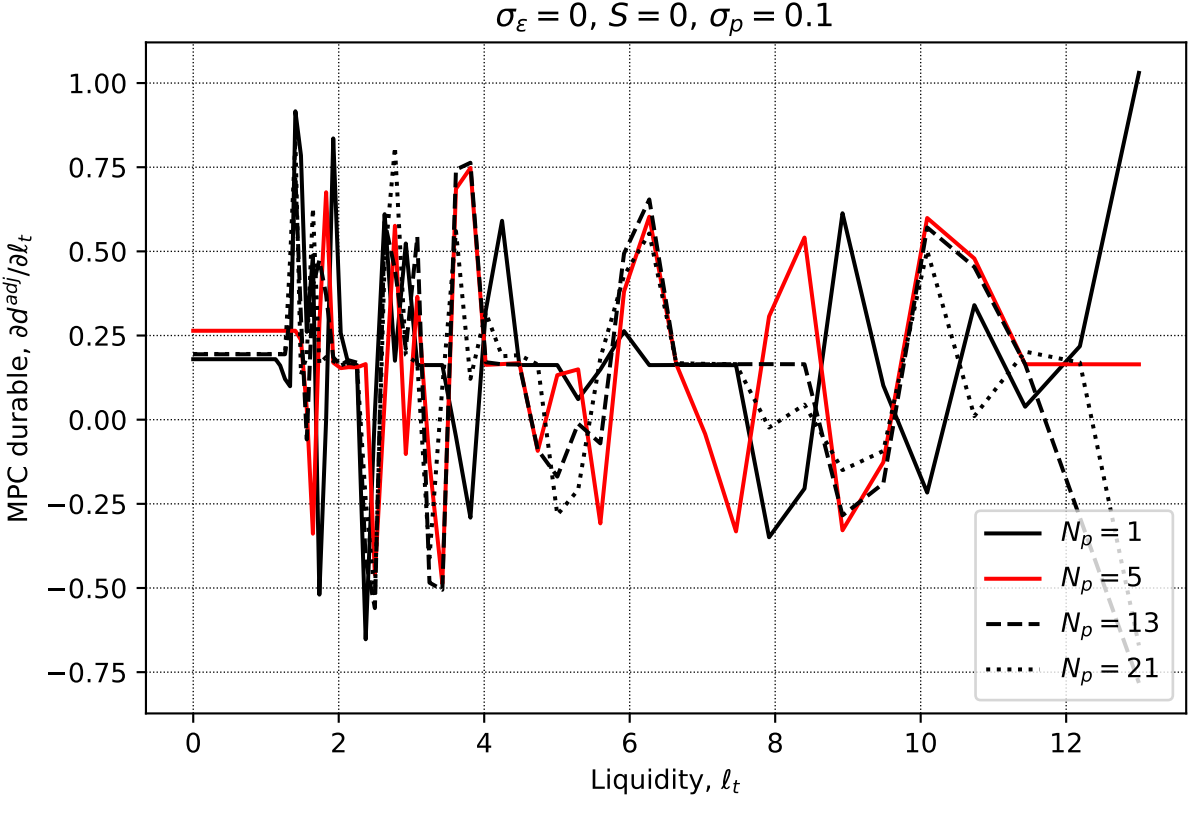
$\sigma_\varepsilon = 0$, $S = 0$, $\sigma_p = 0.1$
MPC durable, $\partial d^{adj}/\partial \ell_t$
Liquidity, ℓ_t
1.00
0.75
0.50
0.25
0.00
−0.25
−0.50
−0.75
0
2
4
6
8
10
12
$N_p = 1$
$N_p = 5$
$N_p = 13$
$N_p = 21$